

Operating Under Pressure

Navigating the 7 External Influences on Business Operations.

Target:
HSC Business Studies (Year 12)

Module:
Operations Management

Focus:
Synthesis, Case Application, Critical Evaluation

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MACRO-ENVIRONMENTAL PRESSURE VECTOR DIAGRAM

OPERATIONAL CONTEXT & ADAPTATION

Operations management is the physical delivery of a business's strategy. However, it cannot operate in a vacuum. To maintain a competitive advantage, the operations manager must continuously adapt the transformation process to uncontrollable macro-environmental pressures.



MARKET & GLOBAL FORCES

- Globalisation
- Technology
- Cost-Based Competition

INSTITUTIONAL FORCES

- Government Policies
- Legal Regulation

CONSUMER & ETHICAL FORCES

- Quality Expectations
- Environmental Sustainability

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GLOBALISATION



MODULAR DATA LOOP

1. The Influence: Globalisation

The integration of national economies into a single global market, driven by free trade and technology.

2. Operational Impact

Exposes the business to supply chain vulnerabilities, geopolitical friction, and currency fluctuations, while opening up new markets.

3. Strategic Response

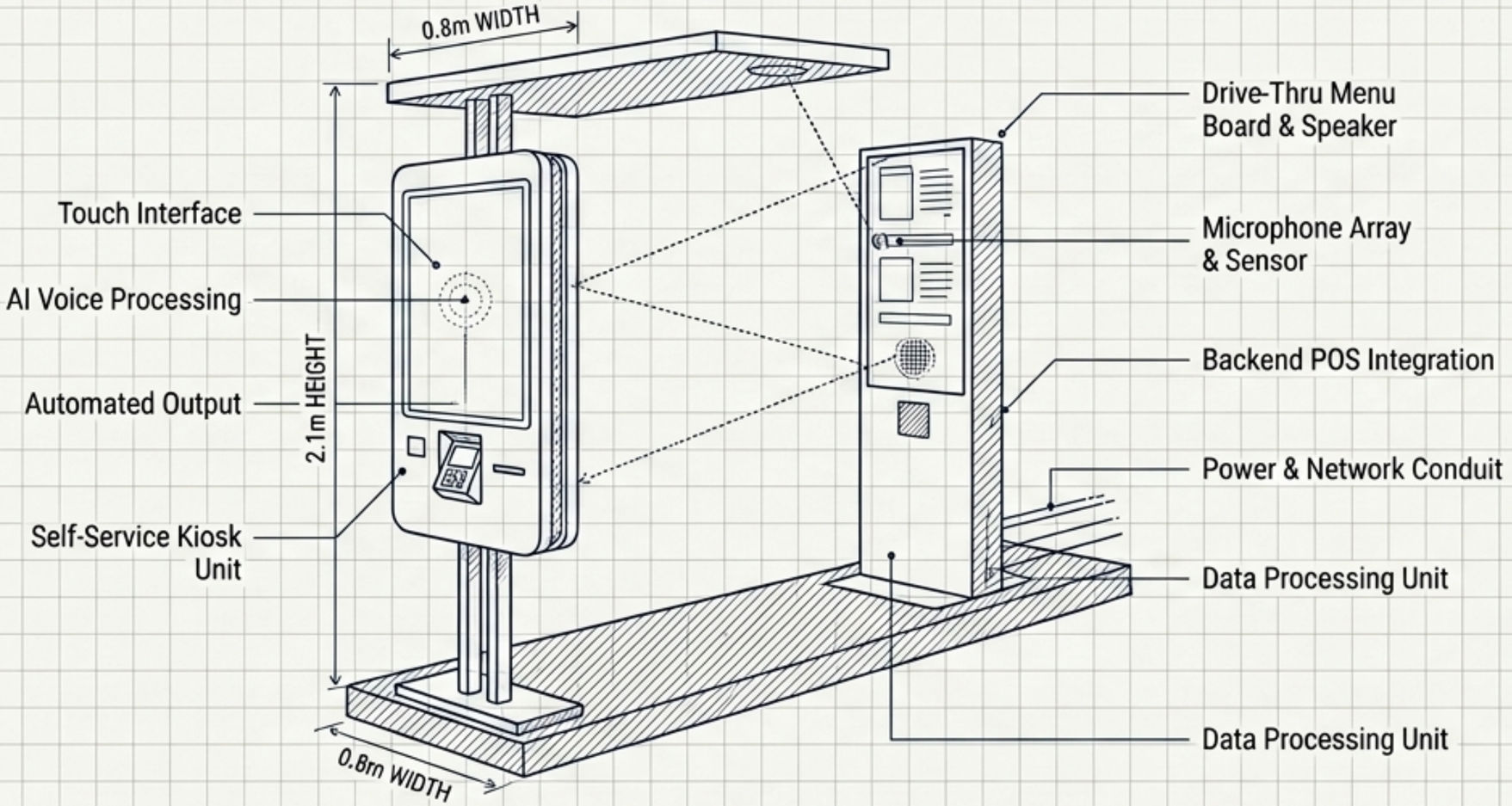
Developing a 'Global Web' strategy—locating manufacturing where labor is cheapest and sourcing raw materials globally.

CASE STUDY CALLOUT (McDONALD'S): GEOPOLITICAL RISK IN ACTION

In 2022, the Russian invasion of Ukraine forced McDonald's to divest 800 stores from its global system, selling them at a US$1.3 billion loss (rebranded as Vkusno & tochka).

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TECHNOLOGY



CASE STUDY CALLOUT (McDONALD'S): THE DIGITAL TRANSFORMATION

McDonald's utilizes Dynamic Yield AI on digital menu boards to adjust offerings based on stock levels and wait times. They are aggressively rolling out self-serve kiosks and trialing IBM voice recognition in Drive-Thrus to reduce wage costs amid labor shortages.

MODULAR DATA LOOP

1. The Influence: Technology

Advancements in process technologies (CAD, CAM, Robotics, AI, e-commerce).

2. Operational Impact

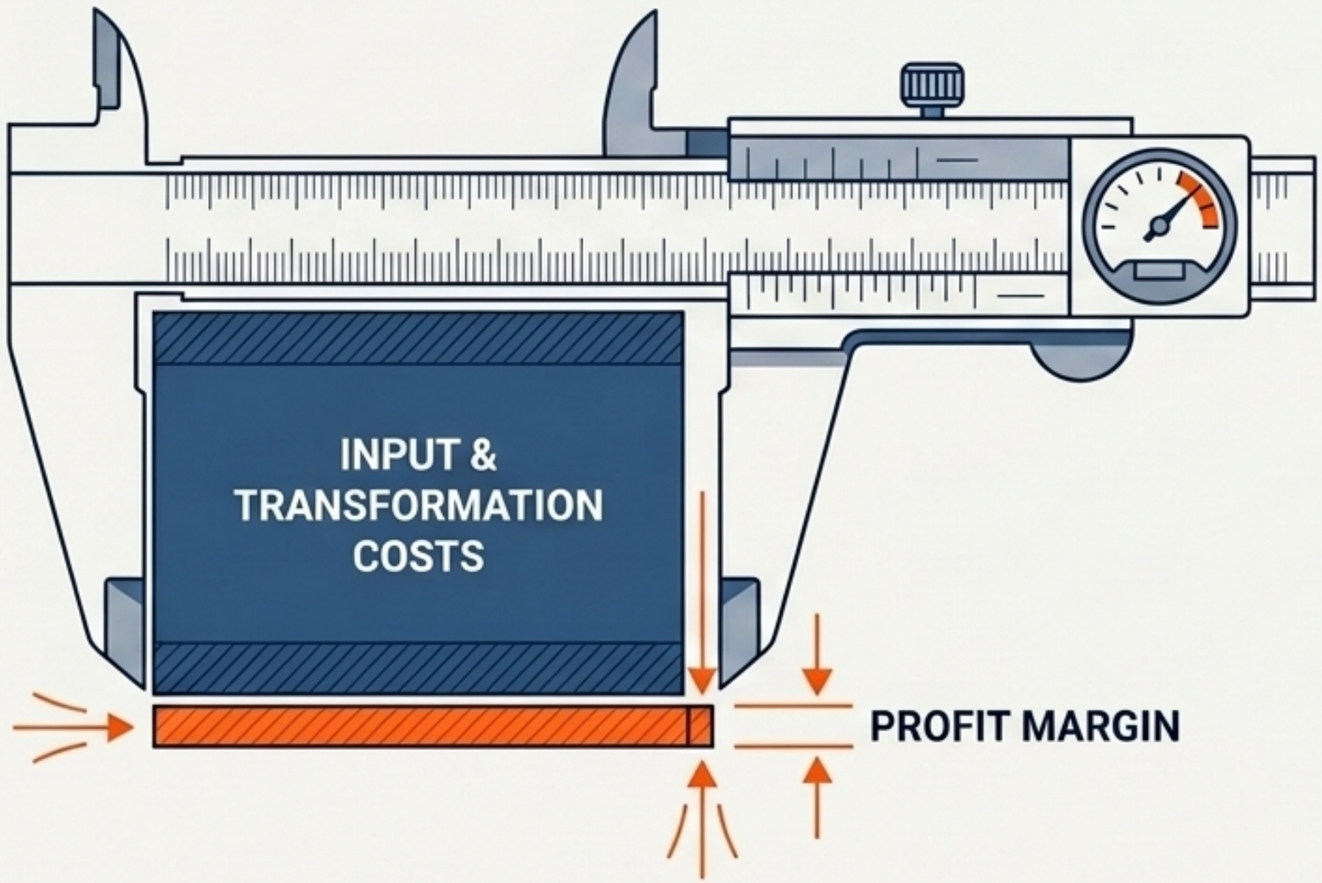
High initial capital investment is required, but it fundamentally shifts the transformation process from labor-intensive to capital-intensive.

3. Strategic Response

Automating repetitive tasks, increasing output speed, and reducing long-term wage overheads.

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Cost-Based Competition



CASE STUDY CALLOUT (MCDONALD'S): THE 5-CENT REALITY

The fast-food industry is notorious for tight margins. Financial analysis shows **McDonald's Corporation averages just 5 cents of net profit for every dollar spent** by a customer, making strict cost controls vital to survival.

MODULAR DATA LOOP

1. The Influence: Cost-Based Competition

2. Operational Impact

The business cannot endlessly increase prices without losing customers. Therefore, profitability relies entirely on internal operational efficiency.

3. Strategic Response

Pursuing Cost Leadership via economies of scale, global sourcing, and strict waste minimization.

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Diagnostic Comparison: Disentangling Cost Drivers

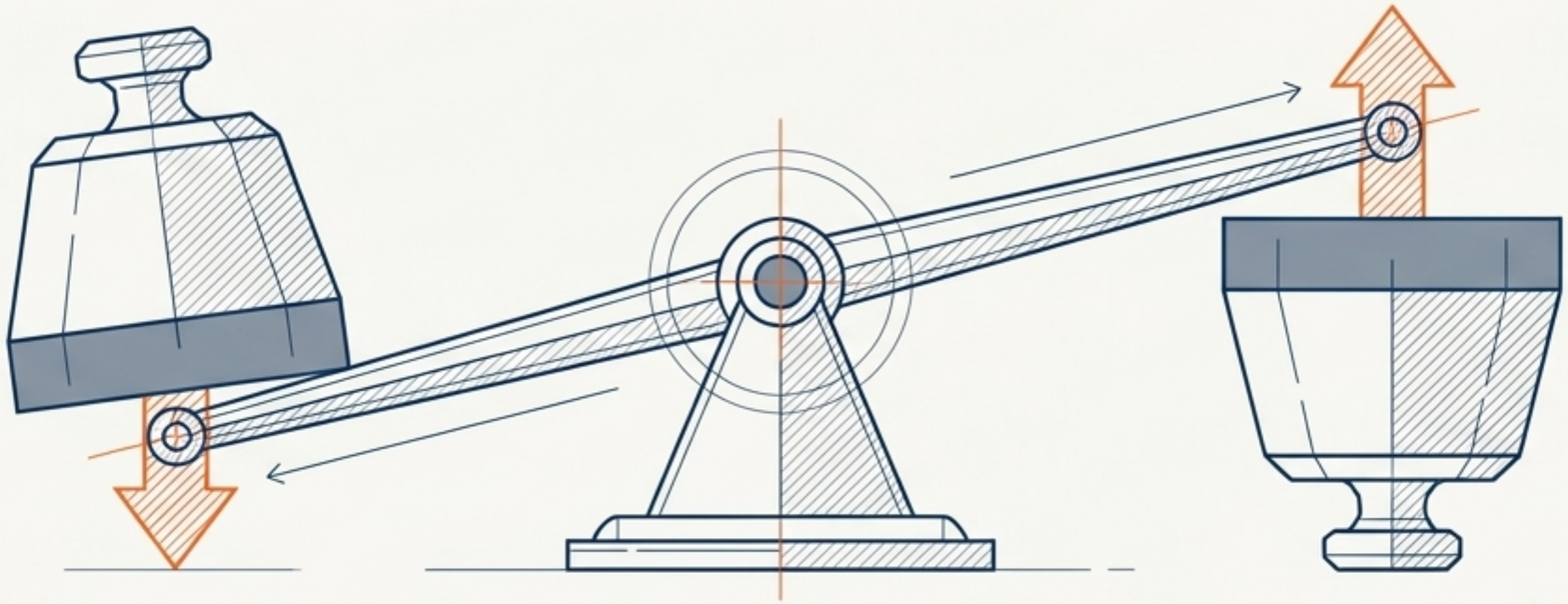
Globalisation	Cost-Based Competition
Core Driver: Geographical and economic integration.	**Core Driver:** Financial pressure to protect profit margins.
Operations Focus: Where do we source and build? (e.g., Shifting manufacturing to Vietnam for cheaper labor; expanding into India's growing middle-class market).	**Operations Focus:** How do we do more with less? (e.g., Automating a local factory to eliminate wage costs; negotiating bulk discounts).
Risk: Currency fluctuations, cultural clashes, supply chain logistics.	**Risk:** Cutting costs so aggressively that product quality drops below acceptable standards.

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The Operations Dilemma

Operations managers must navigate an inherent contradiction. They are pressured to aggressively slash input and transformation costs while simultaneously meeting the consumer's growing demand for premium durability, reliability, and fitness for purpose.

Cost-Based Competition
(Downward Pressure on Prices)



Quality Expectations
(Upward Pressure on Standards)

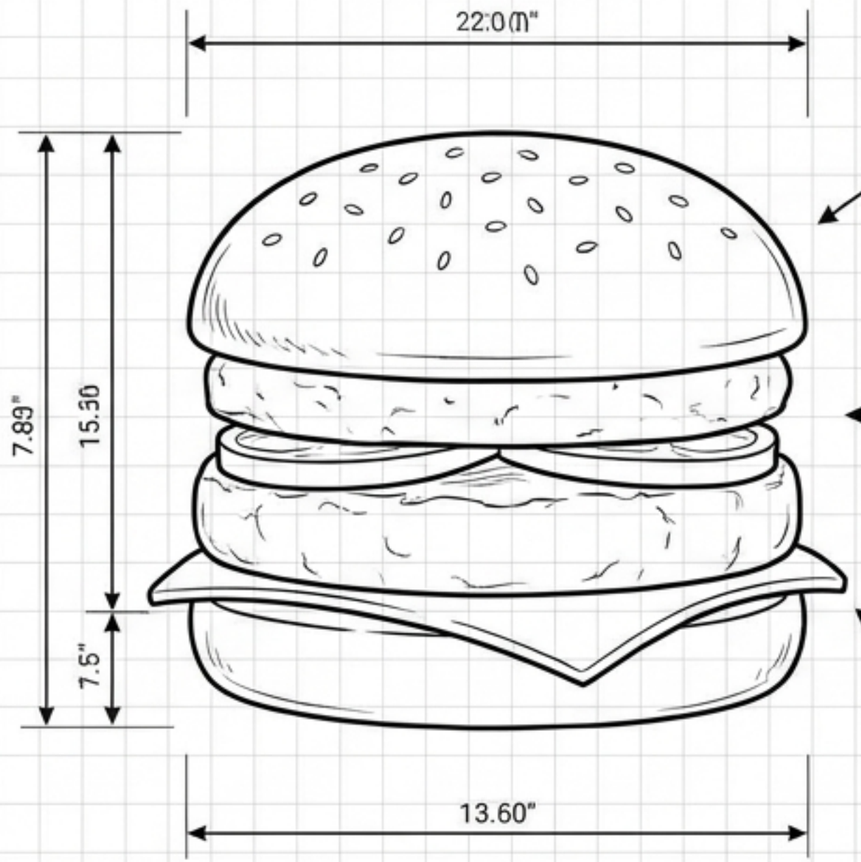
Key Insight

True competitive advantage is achieved when a business uses operational strategy (like TQM or advanced tech) to break this see-saw, offering high quality at a lower cost.

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QUALITY

QUALITY DIAGNOSTIC



DURABILITY CHECK

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RELIABILITY STANDARD

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FITNESS FOR PURPOSE

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MODULAR DATA LOOP

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2. Operational Impact

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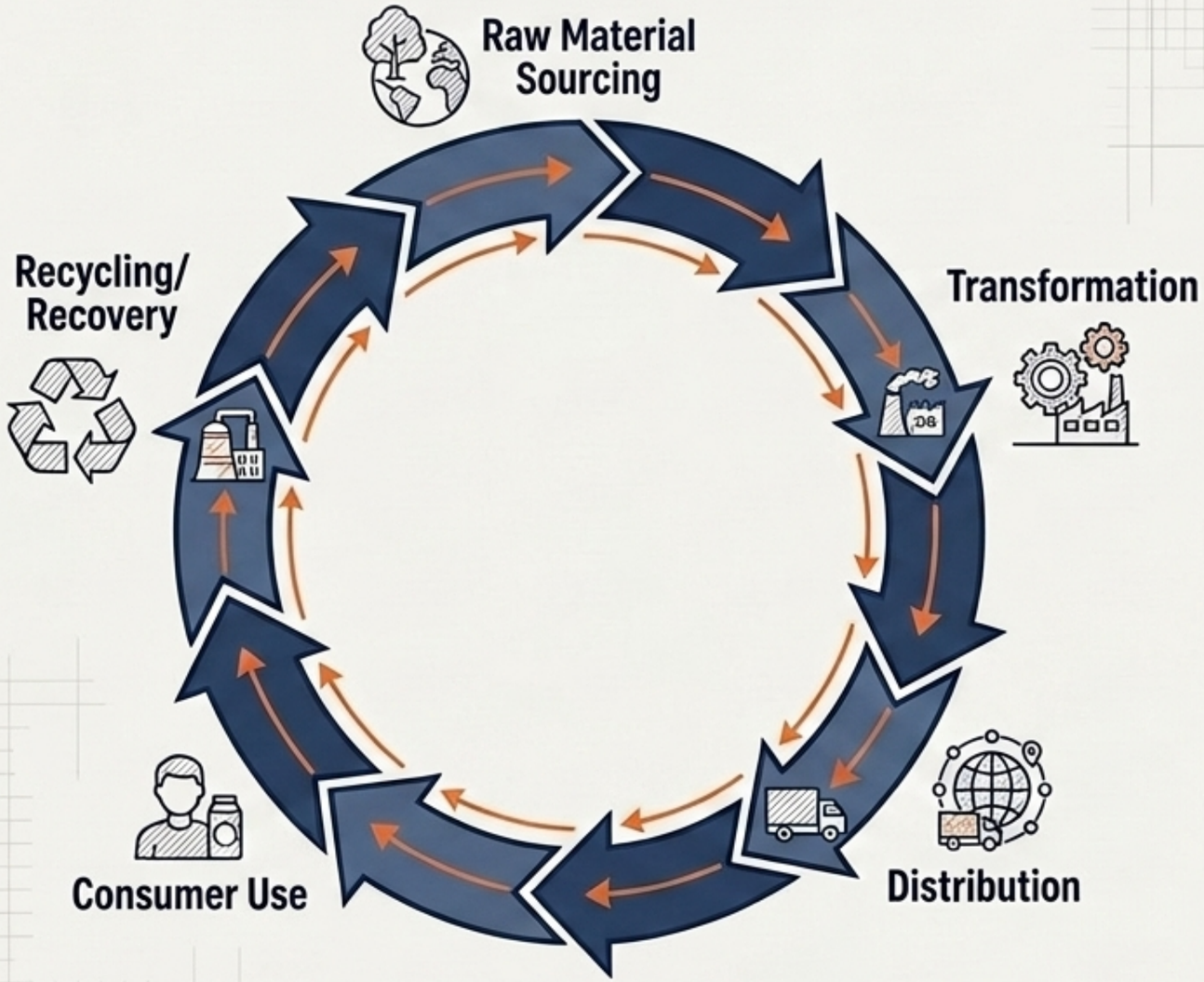
3. Strategic Response

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CASE STUDY CALLOUT (MCDONALD'S)

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ENVIRONMENTAL SUSTAINABILITY: THE CIRCULAR ECONOMY



MODULAR DATA LOOP

1. The Influence: Sustainability Pressures

Societal pressure and ecological necessity to minimize the depletion of finite global resources.

2. Operational Impact

Forces a complete redesign of packaging, logistics, and waste disposal. May increase short-term operational costs but creates long-term efficiencies.

3. Strategic Response

Integrating circular economy principles, minimizing carbon footprints, and sourcing sustainable inputs.

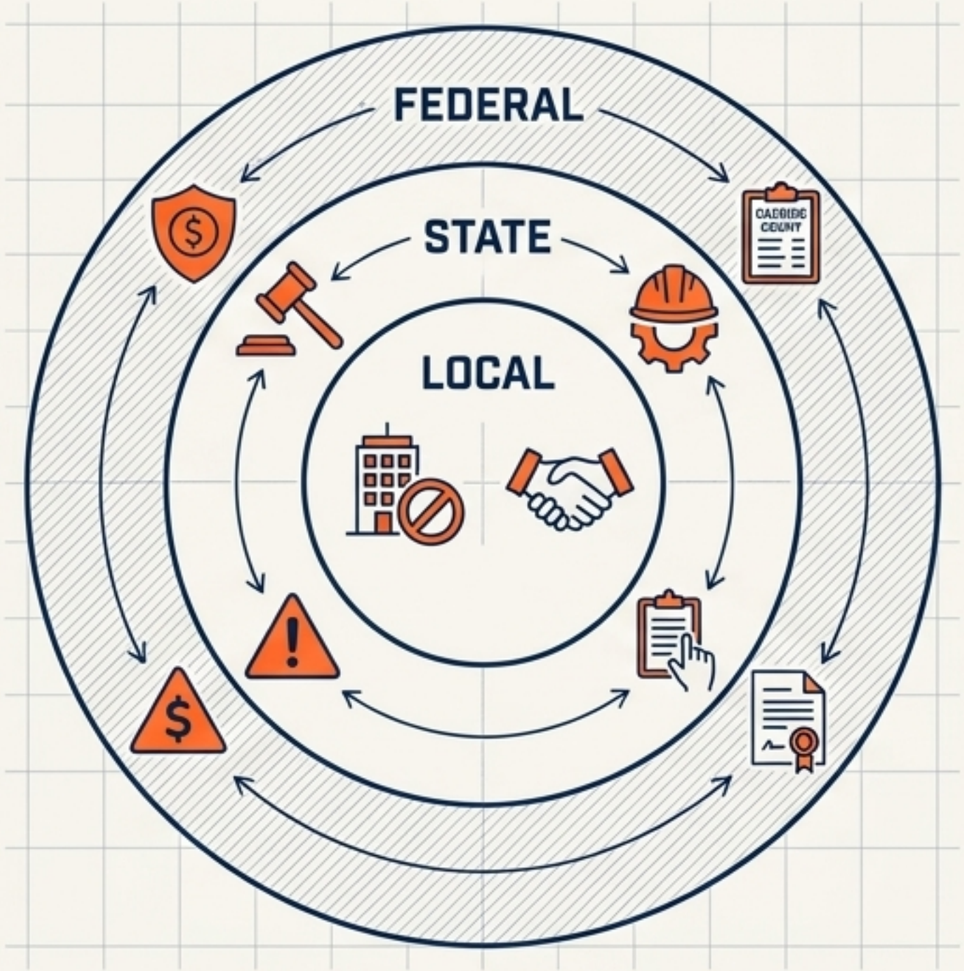
CASE STUDY CALLOUT (McDONALD'S): CLOSING THE LOOP

McDonald's operations have committed to transitioning 100% of guest packaging to renewable, recycled, or certified sources, responding directly to consumer backlash against single-use plastics.

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LEGAL REGULATION: THE COMPLIANCE RADAR

COMPLIANCE RADAR



Multi-tiered regulatory environment requiring constant vigilance and adaptation.

MODULAR DATA LOOP

1. The Influence: Legal Regulation

Statutory obligations imposed by all levels of government to ensure fair trading, consumer safety, and worker protection.

2. Operational Impact

Non-negotiable compliance. Failure results in operational shutdowns, massive ACCC fines, or criminal liability.

3. Strategic Response

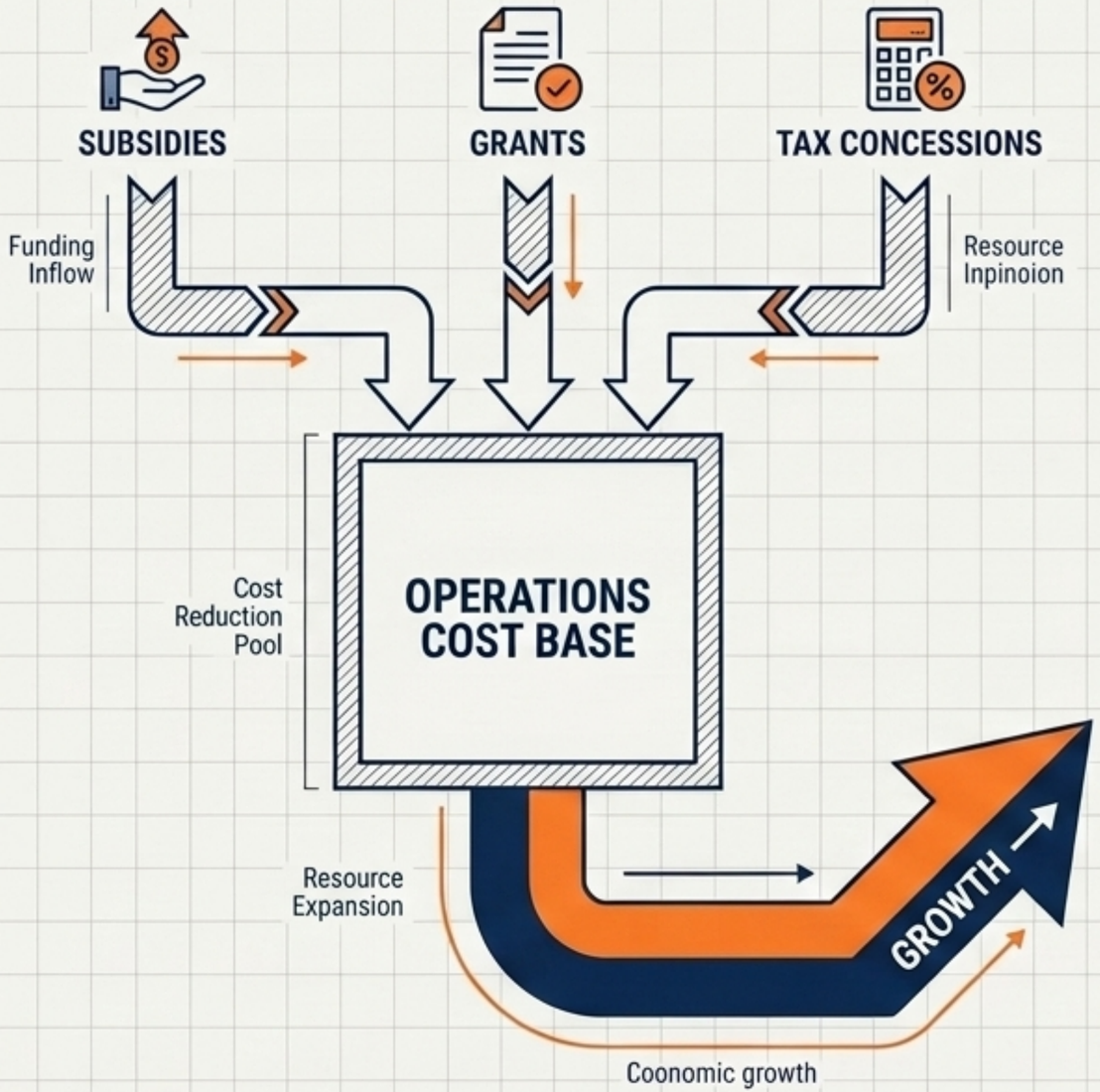
Strict adherence to the Work Health and Safety Act, Australian Consumer Law, and local zoning.

CASE STUDY CALLOUT (McDONALD'S): THE COMPLIANCE BURDEN

Operations must adapt to local zoning laws (e.g., battling the Wollongong council for a store site) and US federal laws that legally mandate the display of calorie counts on digital menu boards.

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INFLUENCE: CAPITALIZING ON GOVERNMENT POLICIES



MODULAR DATA LOOP

1. The Influence: Government Policies

Fiscal and monetary decisions designed to encourage economic growth, innovation, and employment.

2. Operational Impact

Alters the operational cost base. Can either act as a burden (new taxes) or a massive opportunity (grants, subsidies).

3. Strategic Response

Actively adapting operations to qualify for industry assistance and R&D tax concessions.

CASE STUDY CALLOUT (McDONALD'S): CAPITALIZING ON SUBSIDIES

During 2021/2022, the Federal Government offered schemes paying half the wages of eligible trainees. McDonald's operations aggressively utilized this policy, receiving nearly AU$30 millicn in wage subsidies, drastically lowering their human resource input costs.

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Diagnostic Comparison: Institutional Forces

	Legal Regulation ('The Stick')		Government Policy ('The Carrot')
Nature	Mandatory. Carries the full weight of the law.	**Nature**	Directional. Guides business behavior via financial levers.
Operations Focus	Compliance, risk management, and safety.	**Operations Focus**	Opportunity, innovation, and cost-reduction.
Examples	SafeWork NSW mandates, ACCC consumer guarantees, minimum wage laws.	**Examples**	R&D tax concessions, apprentice wage subsidies, renewable energy rebates.
Consequence	Fines, lawsuits, or corporate closure.	**Consequence**	Missing out on competitive financial advantages if ignored.

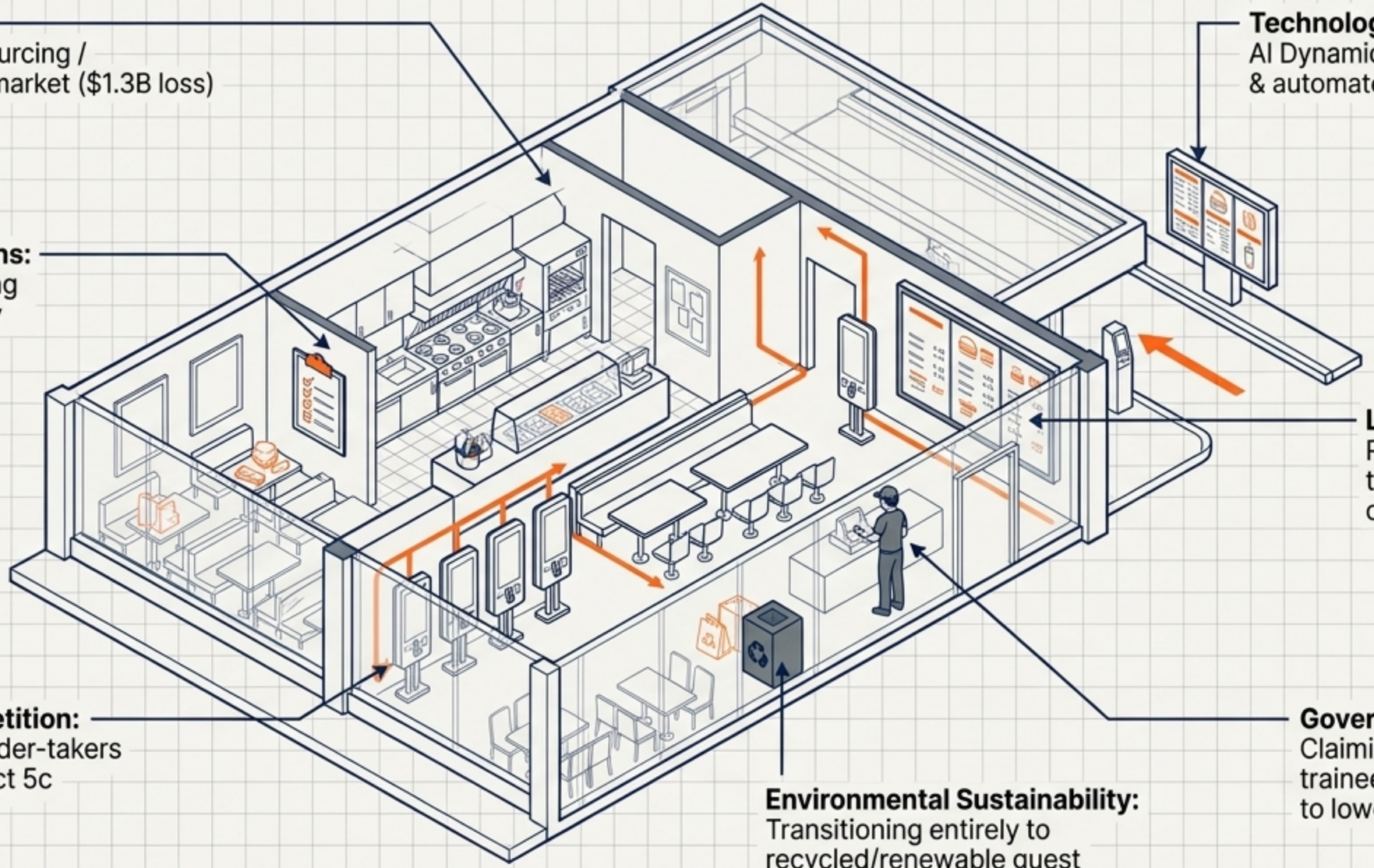
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SYNTHESIS: ARCHITECTURAL BLUEPRINT OF CORPORATE STRATEGY

Globalisation:
Global packaging sourcing /
Exiting the Russian market ($1.3B loss)

Technology:
AI Dynamic Yield menu boards
& automated drink dispensers

Quality Expectations:
BSI Group conducting
46,000+ food safety
SQMS audits



Legal Regulation:
Redesigning menus
to comply with US
calorie-count laws

Cost-Based Competition:
Replacing human order-takers
with kiosks to protect 5c
profit margins.

Environmental Sustainability:
Transitioning entirely to
recycled/renewable guest
packaging.

Government Policies:
Claiming $30M in federal
trainee wage subsidies
to lower labor inputs.

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The Interdependence of Success (Band 6 Directive)

In HSC extended responses, simply listing the 7 influences represents only a Band 4 level response.

A **Band 6** response evaluates how effectively operations management adapts to these influences to achi-**eve** and sustain business success.

KEY TAKEAWAY

If **operations fails to adapt to Technology**, costs remain too high.

If it ignores **Sustainability**, brand value drops.
If it violates **Legal Regulations**, it faces **crippling fines**.

Effective operations management is the shield that protects profitability from external disruptions.

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Critical Thinking & Exam Evaluation

1.

The Cost-Quality Conflict

Evaluate the effectiveness of operations strategies in balancing the tension between cost-based competition and consumer quality expectations. Use McDonald’s as a case study.

2.

Global Vulnerability

“Globalisation is more of a threat than an opportunity for operations management.” To what extent do you agree with this statement?

3.

Institutional Forces

Distinguish between the impact of government policies and legal regulations on the physical transformation process of a business.

End of Diagnostic Briefing. Prepare for Implementation.

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